stake, say 49 per cent. The management control of such an entity must be in the hands of real professionals who understand businesses and the market.

Such a DFI, the India Equity Development and Finance Corporation, should be listed right in the beginning by offering 10 per cent of equity to the general public. The rest can be with financial institutions, both domestic and international, public and private. This institution should aim to provide equity support of about Rs 10 lakh crore in the next ten years. It should not take over management control or majority stake in any company it invests in.

Banking Reforms

Four Necessary Reforms in the Banking Sector

Four major banking sector reforms are necessary to make banks play their rightful role in powering India's growth and development:

First, while the government can undertake redistribution and subsidization, it cannot undertake banking. It was a blunder to nationalize PVBs. The officials of banks, treated as public servants, and the system of incentives aligned to make PSBs risk-averse. They either did not lend or did so incorrectly, with their non-performing loans ballooning to double digits every ten to fifteen years. PSBs need to be re-privatized. SBI can remain in government control; the rest should be brought under the control of a sovereign asset management company and then sold in the next three to five years.

Second, we should encourage the consolidation of private banks and establishment of greenfield banks owned by financial corporate houses. The urban cooperative banks, district cooperative banks and land development banks in the cooperative sector are, in principle, PVBs organized on cooperative principles. Banking based on cooperative principles has proved to be a failure in India. These banks should be allowed to become small